AR 2EB

ALAMEDA RESEARCH 2: ELECTRIC BOOGALOO

LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

INTERNAL RESEARCH · MEMO · NOT INVESTMENT ADVICE · AI-ASSISTED

# Zoom Communications

NASDAQ : ZM · Mature-Company DCF · SOTP

22 October 2026 · the qualitative

**$99.44**

$29.8B mkt cap · 300M sh · $7.9B cash, zero debt · Anthropic stake (carried)

## THE CENTRAL QUESTION

### Is Zoom a melting ice cube — or, with stock comp counted as a cost, still a stable cash machine sitting on a $7B Anthropic stake not yet marked by an IPO?

Zoom trades at $99.44 ($29.8B market cap); $7.9B of cash covers 27% of that. FY26 revenue was $4.87B, and reported free cash flow of $1.92B adds back $0.76B of stock comp (15.6% of revenue). Net of that real cost, owner FCF is ~$1.16B and enterprise value is ~19× it (~11× headline FCF), or ~13× net of a $7B Anthropic value. That stake, carried near $1.5B, is valued at $2-16B across scenarios pending its IPO; the core faces real but slow competition from Teams and Workspace. Valued on owner FCF and today's ~300M diluted shares (buybacks spend cash already counted), the weighted value is ~$100, +1% vs the price. The most likely case (base, 50%) sits ~2% above the price; 30% of the probability sits below it.

## PROBABILITY-WEIGHTED EXPECTED VALUE

most likely case (base) +1.9% · 30% at or below spot

**$100.25**

expected fair value today

+0.8% vs spot $99.44

## FORWARD COMPOUNDED VALUE

| +5y | +10y | +15y | +20y |
|---|---|---|---|
| $151.27 | $228.65 | $346.23 | $525.32 |
| 1.52× spot | 2.30× spot | 3.48× spot | 5.28× spot |

## WEIGHTING RATIONALE

**Ultra Bear 8%** Cisco-Webex-style displacement; margin sinks below stock comp; Anthropic IPO under $400B.

**Bear 22%** Teams/Workspace structurally favored; AI Companion fails to monetize; Anthropic stake compressed.

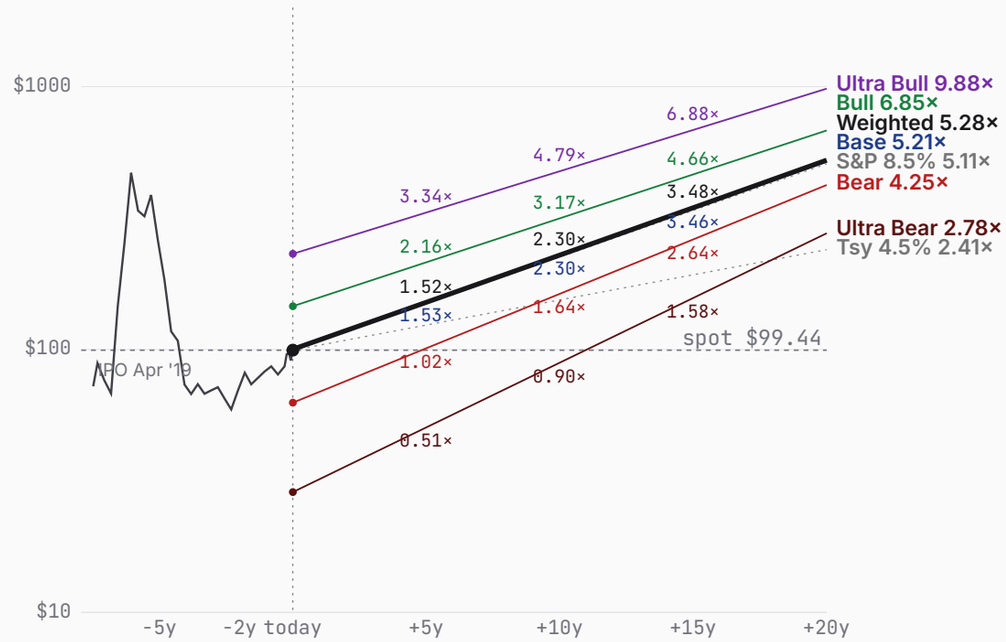
**Base 50%** Modal outcome: stable mid-single-digit growth, Anthropic IPOs at $700B-1T, multiple expands modestly.

**Bull 15%** AI Companion monetizes + Anthropic at $1T+; two engines succeed independently.

**Ultra Bull 5%** Both engines fire simultaneously; Anthropic at $2T+; multiple re-rates to growth-software premium.

Bull (15%) + Ultra Bull (5%) together contribute $33.49 — 33% of the $100.25 expected value despite 20% combined probability. Today's spot ($99.44) sits 1% below the weighted expected.

## PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD




## ULTRA BEAR — $28.70

-71.1% vs spot

CAGR -5.8% WACC 12.0%
Anth $2B Prob 8%

Cisco-Webex moment; deep tail.

## BEAR — $62.80

-36.8% vs spot

CAGR -0.7% WACC 10.0%
Anth $4B Prob 22%

Zoom without a core market.

## BASE — $101.30

+1.9% vs spot

CAGR +3.1% WACC 8.5%
Anth $7B Prob 50%

Stable cash machine with a visible kicker.

## BULL — $146.15

+47.0% vs spot

CAGR +6.4% WACC 8.0%
Anth $9B Prob 15%

AI monetization + Anthropic re-rating.

## ULTRA BULL — $231.26

+132.6% vs spot

CAGR +9.5% WACC 7.5%
Anth $16B Prob 5%

Anthropic $2T+; full re-rating.

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# Zoom Communications scenario narratives

## PROBABILITY WEIGHTS

Ultra Bear 8% Bear 22% Base 50% Bull 15% Ultra Bull 5% · Weighted expected $100.25 (+0.8% vs spot)

## ULTRA BEAR $28.70

-71.1% vs spot

Probability 8%

### Cisco-Webex moment; deep tail.

#### WHY 8%

Joint conjunction of four independent fault lines: (a) Cisco-style displacement curve materializes (-10/-13/-19% YoY) — historical base rate of incumbent-SaaS displacement by hyperscaler bundles is real but not the median outcome; (b) Anthropic IPO disappoints below $400B (vs current $900B private mark) on AI-capex correction + Pentagon supply-chain risk + cheap-AI commoditization; (c) AI Companion Pro fails to monetize as Microsoft Copilot bundling collapses pricing power for collaboration AI; (d) Phone + Contact Center growth stalls below 15%, killing the diversification story. Each individually 15-30% probability conditional on macro; joint conjunction at 8%. Lower than bear's 22% because (i) Q1 FY27 printed a beat with NDR ticking up to 99% and AI Companion MAUs +184% YoY, and (ii) compound conjunction requires all four to fire simultaneously over five years.

#### WHAT HAPPENS

The ultra-bear is qualitatively different from bear's slow melt. It's the Cisco Webex collaboration trajectory — revenue prints -10%, then -13%, then -19% YoY as Teams reaches its tipping point. Four things compound: enterprise NDR breaks 95% as Teams Premium pricing collapses ZM's seat economics; AI Companion Pro fails to differentiate against Copilot/Gemini bundled into M365 and Workspace; Phone + Contact Center growth stalls below 15% (the diversification story dies); and Anthropic IPOs below $400B (Pentagon supply-chain risk + AI-capex moderation + cheap-AI commoditization), gutting the SOTP "hidden asset" narrative.

Revenue collapses from $4.87B to $3.6B over five years (-26%). Operating margin after stock comp falls from ~20% to about −4% as ZM spends to defend the enterprise base, and owner FCF turns negative in year five. Terminal growth of -2% turns the terminal value negative, leaving Op EV at just $1.1B. Cash drains to ~$5.5B on buybacks that only offset dilution. Anthropic floors at $2B (sub-$400B IPO). SOTP equity: $8.6B ÷ 299.7M shares = ~$28.70/share — a -71% tail, against the ultra-bull's +133%.

## BEAR $62.80

-36.8% vs spot

Probability 22%

### Zoom without a core market.

#### WHY 22%

Bearish thesis is competitive commoditization: Teams (Microsoft's bundled play) and Google Meet (free for Workspace customers) continue to take seats from ZM's enterprise base; AI Companion Pro fails to differentiate or monetize meaningfully (Microsoft Copilot integration into Teams is the obvious competitive response); Phone seats stagnate; Contact Center fails to reach scale; Anthropic stake gets compressed if AI valuations correct or Anthropic does an underwhelming IPO. The 22% weight (30% with the ultra-bear) reflects that Teams/Workspace competition is real, ongoing, and structurally favored — but ZM has shown unexpected resilience through 2024-25 (stable revenue, growing FCF, $1B+ buyback program). Not bankruptcy risk; share-loss-with-margin-compression risk.

#### WHAT HAPPENS

The pessimistic case is harsh and worth taking seriously: video conferencing has commoditized. Microsoft Teams ships with every E3 and E5 license — well north of 400M enterprise seats globally. Google Meet ships with Workspace. Webex, Slack Huddles, Discord, FaceTime — everyone has video. The product Zoom invented and dominated is now table stakes inside the productivity bundles customers are already paying for.

In this world Zoom's revenue stagnates and then declines. Enterprise renewals come at lower seat counts as IT teams quietly migrate to Teams. Online (consumer + SMB) erodes faster as free alternatives become good enough. Phone and Contact Center continue growing 20-25%+ but on too small a base to offset the core decline. Revenue drifts from $4.87B in FY26 to ~$4.7B by FY30. Margins compress as Zoom spends to defend: owner FCF margin, after stock comp, slides from 19% to 13%.

## BASE $101.30

+1.9% vs spot

Probability 50%

### Stable cash machine with a visible kicker.

#### WHY 50%

Modal outcome. ZM stabilizes at mid-single-digit revenue growth; FY27 guidance holds; AI Companion Pro is a meaningful contributor but not a category-defining product; Anthropic stake gets a public mark via Anthropic's IPO at $700B-1T valuation; ZM multiple expands modestly as the market gives credit for the Anthropic stake AND for stable cash generation. Stock comp holds near 16% of revenue. The 50% weight reflects that this requires the least faith — sequential execution on plans already in motion.

#### WHAT HAPPENS

The middle path. Zoom continues as a stable mid-single-digit growth business. Enterprise revenue grows 6-7%, Online stays flat to slightly down, Phone and Contact Center add 25%+ on smaller bases. Blended revenue grows 3-4% — exactly what FY27 guidance is calling for and consistent with the last two years.

AI Companion stays bundled into paid plans and helps justify price increases at renewal. The strategic logic is right: make AI a feature of the bundle rather than try to monetize it as a separate SKU customers can decline. After a near-term capex step-up for the post-pandemic data center refresh, owner FCF (after the ~16% of revenue paid in stock) holds a steady ~19% margin, ~$1.0-1.1B a year. Shares are held at today's ~300M, since buybacks spend cash already valued.

## BULL $146.15

+47.0% vs spot

Probability 15%

### AI monetization + Anthropic re-rating.

#### WHY 15%

AI Companion Pro monetizes (per-seat add-on becomes meaningful contributor); Phone scales to 16M+ seats with margin expansion; Contact Center crosses $500M ARR and becomes a real third leg of growth; Anthropic IPOs at $1T+ with stake getting full mark (vs current discount carrying value); the operating business multiple expands AND the Anthropic stake appreciates. The 15% weight reflects that the bull case is only partly compound — AI monetization and Anthropic appreciation are somewhat independent bets that can succeed without each other. But the conjunction still requires multiple things at once: product success on three new SKUs (Companion Pro, Phone scale, Contact Center scale) plus a favorable AI capital markets backdrop for Anthropic's IPO.

#### WHAT HAPPENS

The bull case requires Zoom to convert AI Companion into a meaningful per-seat upsell while Anthropic IPOs at $1T+. AI Companion Pro reaches material adoption — call it 15% attach on paid seats at $5-8/month uplift — adds ~$300M ARR by FY28. Phone scales to 16M seats with margin expansion. Contact Center crosses $500M ARR and becomes a real third leg of growth. Blended revenue growth re-accelerates to 5-8%.

Owner FCF margin (after the ~16% of revenue paid in stock) widens from 22% to 25% as the AI Companion uplift drops to the bottom line at ~80% gross margin; owner FCF reaches ~$1.7B/yr. Shares are held at today's ~300M, since buybacks spend cash already valued. SOTP math: $27.0B op EV + $7.8B cash + $9B Anthropic = $43.8B equity ÷ 299.7M shares = ~$146/share.

## ULTRA BULL $231.26

+132.6% vs spot

Probability 5%

### Anthropic $2T+; full re-rating.

#### WHY 5%

Joint conditional: Anthropic IPO above $2T (60% conditional on IPO) AND AI Companion crosses $1B ARR (40% conditional on existing trajectory) AND the multiple roughly doubles, ~26x to 50x+ price to owner FCF (~16x to 30x+ on headline FCF; 50% conditional on growth + AI both firing). Joint at 5-7%, reflected here at 5%. This is the scenario where ZM stops being a 'value with AI optionality' name and becomes a growth-software name with an emerging-leader AI partner. Tail of tails.

#### WHAT HAPPENS

The ultra-bull case is that the two engines BOTH fire and the market re-rates the equity to growth-software multiples. Anthropic IPOs at $2T+ valuation (vs $1T base bull), marking the Anthropic stake at $14-18B — 2× the bull-case carry value. Simultaneously, AI Companion Pro becomes a real revenue engine: 30%+ paid-seat attach at $8-12/mo, hitting $1B+ ARR by FY29 and reaccelerating core revenue growth to 8-10%. Phone, Contact Center, and Workvivo each become $500M+ ARR contributors.

Owner FCF margin (after stock comp) widens from 25% to 31%, and the multiple roughly doubles as the growth story consolidates: ~26x to 50x+ price to owner FCF (~16x to 30x+ on headline FCF). SOTP math: $45.5B operating EV + $7.8B cash + $16B Anthropic (mid-case mark) = $69.3B equity ÷ 299.7M shares = ~$231/share. The ultra-bull is materially different from bull: not just AI works AND Anthropic works, but BOTH inflect AT THE SAME TIME and the market rerates accordingly.

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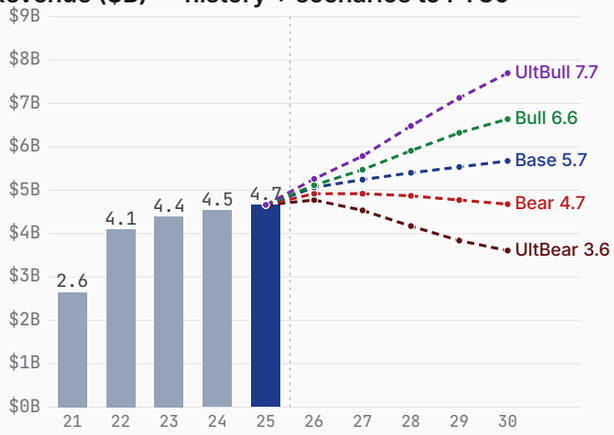
# Zoom Communications business snapshot



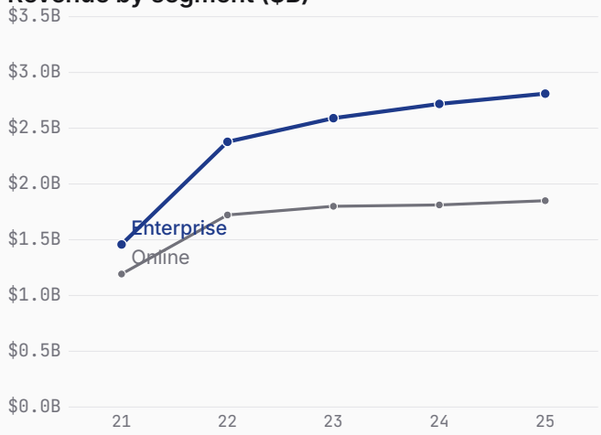
Bear $62.80 Base $101.30 Bull $146.15

FY21–FY25 history + FY26–FY30 scenario projections · fiscal years end Jan 31 · 10-K FY26, 10-Qs through Jul 2026, Anthropic press releases

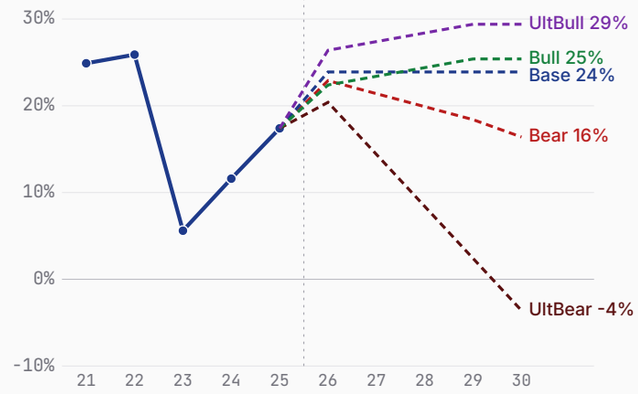
## Revenue ($B) — history + scenarios to FY30



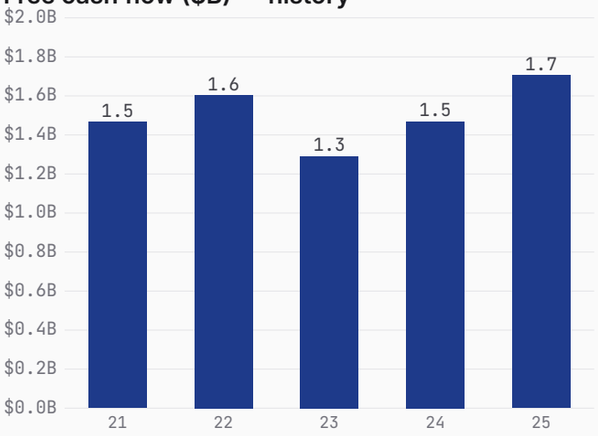

## Revenue by segment ($B)




## Op margin — history + scenarios



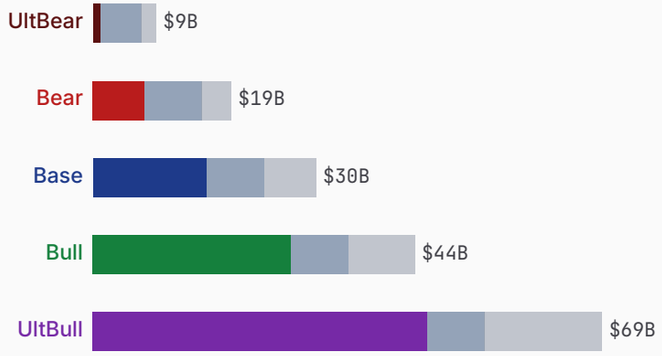

## Free cash flow ($B) — history




## EV / Revenue — historical

(no EV history data)

## SOTP equity (Op EV + cash + Anthropic)




Op EV · cash · special assets

Sources: ZM 10-K FY26 (FCF, stock comp), 10-Qs for the quarters ended Apr and Jul 2026 (diluted shares), Anthropic financial press, AI infrastructure peer set.

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# Zoom Communications 7 Powers · the moat, scored

Bear $62.80 Base $101.30 Bull $146.15

**Arena.** Video communications + collaboration — Zoom vs Microsoft Teams (bundled in M365), Google Meet (Workspace), Cisco Webex; the question is whether a standalone platform holds against suite bundling, and whether AI Companion monetizes.

**POWER AUDIT**
dominant-power durability: medium

## POWER AUDIT · 7 POWERS

| | |
|---|---|
| **Scale Economies** ■■□ | Large user base + global media infrastructure spread cost. |
| **Network Economies** ■■□ | Ubiquity ('Zoom me'), guest-join reach, app marketplace. |
| **Counter-Positioning** ■□□ | Was the ease-of-use disruptor; incumbents have since matched the model. |
| **Switching Costs** ■■□ | Enterprise contracts; Zoom Phone / Contact Center stickiness; habit. |
| **Branding** ◂ thesis leans here ■■■ | Category-defining verb; default for external meetings. |
| **Cornered Resource** ■□□ | No durable exclusive asset; talent + reliability are replicable. |
| **Process Power** ■■□ | Reliability/UX engineering culture; uptime track record. |

## PEER SET

**Microsoft Teams** — 10% gr · 40% mgn · bundled
Bundled free in M365 — the existential bundling threat.

**Google Meet** — 8% gr · 30% mgn · bundled
Bundled in Workspace; good-enough for many.

**Cisco Webex** — -5% gr · 25% mgn · ~12x
Enterprise legacy; declining share.

**RingCentral / 8x8** — 5% gr · 18% mgn · ~8x
UCaaS pure-plays in Phone/CC.

## THREAT VECTORS · FALSIFIERS

**Counter-Positioning** · Microsoft Teams (bundling)
falsifier: Online seat growth < 0% or net-dollar-retention < 100% as Teams bundling displaces standalone seats.

**Branding** · AI assistants (Copilot/Gemini)
falsifier: AI Companion fails to lift ARPU while bundled rivals give equivalent AI free.

**COMPETITIVE READ**

A category-defining brand + network with real switching costs, but durability is the whole debate — Microsoft's bundling is the dominant threat the terminal multiple hinges on; seat growth and net retention are the gauges.

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# Zoom Communications show your work

Bear $62.80 Base $101.30 Bull $146.15 · Weighted $100.25 (+0.8%)

## ULTRA BEAR $28.70

### ASSUMPTIONS

| | |
|---|---|
| 5y revenue CAGR (%) | -5.8 |
| Year-5 op margin (%) | -3.6 |
| WACC (%) | 12.0 |
| Terminal growth (%) | -2.0 |
| Anthropic stake ($B) | 2.0 |
| Starting revenue ($B) | 4.87 |
| Scenario probability (%) | 8 |

### 5-YEAR DCF · $B

| FY | Rev | Margin | FCF | PV FCF |
|---|---|---|---|---|
| FY26 | 4.77 | +20% | +0.97 | +0.87 |
| FY27 | 4.53 | +14% | +0.65 | +0.52 |
| FY28 | 4.17 | +8% | +0.35 | +0.25 |
| FY29 | 3.84 | +2% | +0.09 | +0.06 |
| FY30 | 3.61 | -4% | -0.13 | -0.07 |

| | |
|---|---|
| Σ PV explicit FCF | **+1.62** |
| + PV terminal (g -2.0%) | -0.52 |

### EQUITY BUILD · $B & PER SHARE

| | |
|---|---|
| Operating EV | $1.10B |
| + Cash & investments | $5.50B |
| + Anthropic stake | $2.00B |
| **= Equity value** | **$8.60B** |
| FY30 shares (M) | 299.7 |
| **= Expected per share** | **$28.70** |

### FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

| +5y | +10y | +15y | +20y |
|---|---|---|---|
| $50.58 | $89.14 | $157.09 | $276.85 |
| 0.51× | 0.90× | 1.58× | 2.78× |

## BEAR $62.80

### ASSUMPTIONS

| | |
|---|---|
| 5y revenue CAGR (%) | -0.7 |
| Year-5 op margin (%) | 16.4 |
| WACC (%) | 10.0 |
| Terminal growth (%) | 0.0 |
| Anthropic stake ($B) | 4.0 |
| Starting revenue ($B) | 4.87 |
| Scenario probability (%) | 22 |

### 5-YEAR DCF · $B

| FY | Rev | Margin | FCF | PV FCF |
|---|---|---|---|---|
| FY26 | 4.92 | +23% | +0.95 | +0.87 |
| FY27 | 4.92 | +21% | +0.90 | +0.75 |
| FY28 | 4.87 | +20% | +0.85 | +0.64 |
| FY29 | 4.77 | +18% | +0.73 | +0.50 |
| FY30 | 4.68 | +16% | +0.63 | +0.39 |

| | |
|---|---|
| Σ PV explicit FCF | **+3.14** |
| + PV terminal (g 0.0%) | 3.88 |

### EQUITY BUILD · $B & PER SHARE

| | |
|---|---|
| Operating EV | $7.02B |
| + Cash & investments | $7.80B |
| + Anthropic stake | $4.00B |
| **= Equity value** | **$18.82B** |
| FY30 shares (M) | 299.7 |
| **= Expected per share** | **$62.80** |

### FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

| +5y | +10y | +15y | +20y |
|---|---|---|---|
| $101.14 | $162.89 | $262.33 | $422.49 |
| 1.02× | 1.64× | 2.64× | 4.25× |

## BASE $101.30

### ASSUMPTIONS

| | |
|---|---|
| 5y revenue CAGR (%) | +3.1 |
| Year-5 op margin (%) | 23.9 |
| WACC (%) | 8.5 |
| Terminal growth (%) | 2.0 |
| Anthropic stake ($B) | 7.0 |
| Starting revenue ($B) | 4.87 |
| Scenario probability (%) | 50 |

### 5-YEAR DCF · $B

| FY | Rev | Margin | FCF | PV FCF |
|---|---|---|---|---|
| FY26 | 5.06 | +24% | +0.98 | +0.91 |
| FY27 | 5.24 | +24% | +1.02 | +0.86 |
| FY28 | 5.40 | +24% | +1.05 | +0.82 |
| FY29 | 5.53 | +24% | +1.07 | +0.77 |
| FY30 | 5.67 | +24% | +1.10 | +0.73 |

| | |
|---|---|
| Σ PV explicit FCF | **+4.09** |
| + PV terminal (g 2.0%) | 11.47 |

### EQUITY BUILD · $B & PER SHARE

| | |
|---|---|
| Operating EV | $15.56B |
| + Cash & investments | $7.80B |
| + Anthropic stake | $7.00B |
| **= Equity value** | **$30.36B** |
| FY30 shares (M) | 299.7 |
| **= Expected per share** | **$101.30** |

### FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

| +5y | +10y | +15y | +20y |
|---|---|---|---|
| $152.32 | $229.04 | $344.39 | $517.85 |
| 1.53× | 2.30× | 3.46× | 5.21× |

## BULL $146.15

### ASSUMPTIONS

| | |
|---|---|
| 5y revenue CAGR (%) | +6.4 |
| Year-5 op margin (%) | 25.4 |
| WACC (%) | 8.0 |
| Terminal growth (%) | 2.5 |
| Anthropic stake ($B) | 9.0 |
| Starting revenue ($B) | 4.87 |
| Scenario probability (%) | 15 |

### 5-YEAR DCF · $B

| FY | Rev | Margin | FCF | PV FCF |
|---|---|---|---|---|
| FY26 | 5.11 | +22% | +1.14 | +1.06 |
| FY27 | 5.47 | +23% | +1.28 | +1.10 |
| FY28 | 5.91 | +24% | +1.44 | +1.14 |
| FY29 | 6.32 | +25% | +1.60 | +1.18 |
| FY30 | 6.64 | +25% | +1.69 | +1.15 |

| | |
|---|---|
| Σ PV explicit FCF | **+5.63** |
| + PV terminal (g 2.5%) | 21.37 |

### EQUITY BUILD · $B & PER SHARE

| | |
|---|---|
| Operating EV | $27.00B |
| + Cash & investments | $7.80B |
| + Anthropic stake | $9.00B |
| **= Equity value** | **$43.80B** |
| FY30 shares (M) | 299.7 |
| **= Expected per share** | **$146.15** |

### FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

| +5y | +10y | +15y | +20y |
|---|---|---|---|
| $214.74 | $315.53 | $463.61 | $681.20 |
| 2.16× | 3.17× | 4.66× | 6.85× |

## ULTRA BULL $231.26

### ASSUMPTIONS

| | |
|---|---|
| 5y revenue CAGR (%) | +9.5 |
| Year-5 op margin (%) | 29.4 |
| WACC (%) | 7.5 |
| Terminal growth (%) | 3.0 |
| Anthropic stake ($B) | 16.0 |
| Starting revenue ($B) | 4.87 |
| Scenario probability (%) | 5 |

### 5-YEAR DCF · $B

| FY | Rev | Margin | FCF | PV FCF |
|---|---|---|---|---|
| FY26 | 5.26 | +26% | +1.32 | +1.23 |
| FY27 | 5.79 | +27% | +1.66 | +1.44 |
| FY28 | 6.48 | +28% | +2.01 | +1.62 |
| FY29 | 7.13 | +29% | +2.24 | +1.67 |
| FY30 | 7.70 | +29% | +2.38 | +1.66 |

| | |
|---|---|
| Σ PV explicit FCF | **+7.61** |
| + PV terminal (g 3.0%) | 37.90 |

### EQUITY BUILD · $B & PER SHARE

| | |
|---|---|
| Operating EV | $45.51B |
| + Cash & investments | $7.80B |
| + Anthropic stake | $16.00B |
| **= Equity value** | **$69.31B** |
| FY30 shares (M) | 299.7 |
| **= Expected per share** | **$231.26** |

### FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

| +5y | +10y | +15y | +20y |
|---|---|---|---|
| $332.00 | $476.63 | $684.27 | $982.36 |
| 3.34× | 4.79× | 6.88× | 9.88× |

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# Zoom Communications People · Opportunity · Context · Deal

Bear $62.80 Base $101.30 Bull $146.15

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

## PEOPLE · WHO RUNS / OWNS / FUNDS IT

**Eric S. Yuan** · `founder-led` — 15 yrs in seat

**8%**
insider ownership

**HIGH**
key-person risk

**Capital allocation (realized)**
Net cash ~$7.7B, zero debt — now being returned: stacked buyback authorizations ($1.5B 2024 → +$1.2B → +$1.0B → +$1.0B 2026), though stock comp ($761M in FY26, 15.6% of revenue) means part of each buyback only offsets dilution. The one big swing — the $14.7B all-stock Five9 bid (2021) — was terminated when Five9 holders rejected it; no overpriced deal got done.

**Incentive alignment**
Founder equity is the alignment: 2023 base salary cut to $10,000 (−98%) with bonus declined; no extra board pay. Comp is shifting from annual equity toward cash bonus (FY26–27).

GOVERNANCE FLAGS

super-voting dual-class (Class B = 10 votes) → ~25–30%+ founder voting control | CEO + Chairman combined | lead independent director; ~9 of 10 directors independent

**PEOPLE READ**

Founder-owner-operator (~8% economic, $10k salary) returning cash via buybacks, with a majority-independent board — disciplined and aligned; the offsets are heavy stock comp (15.6% of revenue), super-voting control (~25–30%+ of votes), a combined CEO/Chair, and high key-person concentration on Yuan.

## THE FOUR LEGS

**People** ●●●●○
observable composite · 1–5

**Opportunity**
The scenario distribution · the business snapshot · the Arthur Indicator (ZM 5.0)

**Context**
The 7 Powers analysis (Power Audit)

**Deal**
Open-market common — entry price weighed against the probability-weighted fair value, then position-sized.
`+0.8% vs spot $99.44`

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# Zoom Communications supporting analysis · disclaimers · glossary

Bear $62.80 Base $101.30 Bull $146.15

## PUSHBACK · WHY THE BASE CASE IS TOO HARSH

1 **Operating business has resilience.**
ZM revenue stable through 2024-25 despite Teams competition. Phone + Contact Center grew 25%+. Resilience visible, not theoretical.

2 **AI Companion strategy is right.**
Bundle AI into existing plans rather than separate SKU. Microsoft Copilot's $30/seat model is the cautionary tale — adoption underwhelmed.

3 **$7.8B cash is a real floor.**
~26% of market cap is cash (~$26/share), earning ~4% in T-bills — optionality for M&A or buybacks. Even the ultra-bear ($28.70) is above the $26.

4 **Anthropic stake is asymmetric.**
Carried at cost ($1.5B); worth $4-9B today; could mark to $15B+ post-IPO. Hidden asset most screeners ignore.

5 **Capital allocation track record.**
$1B+ buyback authorization announced 2024. Avg buyback price below $80. Eric Yuan personally aligned (~8% economic owner).

## FALSIFICATION TRIGGERS

### Bear validation

FY27 revenue declines · AI Companion attach < 5% on paid seats · Anthropic IPO marks stake below $5B · Phone seat growth < 15% · stock comp > 18% of revenue

### Bull validation

FY27 revenue re-accelerates > 5% · AI Companion attach > 10% · Anthropic IPO at $1T+ · Contact Center crosses $500M ARR · stock comp < 13% of revenue

### Reframe needed

If Eric Yuan executes major M&A (>$3B deal) — repurposing cash from optionality to platform expansion; both bear and bull theses get rewritten

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## GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

**AI Companion / Pro** — ZM's AI assistant. Bundled free into paid plans (Companion) with a premium SKU (Pro). Bundle-not-separate-SKU strategy.

**Anthropic stake** — ZM invested in Anthropic in 2023. Carrying value disclosed at ~$1.5B; valued at $2-16B across scenarios pending the IPO mark.

**Phone** — ZM's cloud PBX product. ~9M seats currently, growing 25%+. Cross-sells off the meetings install base; a third-leg growth driver.

**SOTP** — Sum-of-the-parts: operating EV + cash + special assets - debt. Used when material balance-sheet value sits outside operations.

**Contact Center** — ZM's CCaaS product (cloud-based customer service). ~$200M ARR currently, growing fast; bull case crosses $500M ARR.

**Owner FCF** — Free cash flow after stock comp, a real cost that reported FCF adds back (15.6% of ZM's FY26 revenue). The basis valued here.